The minimum payment that has to be made to a particular factor of production to retain it in its present use is known as transfer earnings.

6.6 Wages



Wages are a payment for the services of labour, whether intellectual or physical. Wage may be paid daily, weekly, fortnightly, monthly or yearly and partly at the end of the year in the form of bonus.

6.6.1. Meaning

Wage is the price paid to the labourer for the services rendered .

> "A sum of money paid under contract by an employer to a worker for the services rendered".
>
> *-Benham*

6.6.2 Kinds of Wages

Wages are divided into four types:

1. **Nominal Wages or Money Wages.**

   Nominal wages are referred to the wages paid in terms of money.

2. **Real Wages**

   Real wages are the wages paid in terms of goods and services. Hence, real wages are the purchasing power of money wages.

3. **Piece Wages**

   Wages that are paid on the basis of quantum of work done.

4. **Time Wages**

   Wages that are paid on the basis of the amount of time that the worker works.

6.7 Theories of Wages

6.7.1 Subsistence Theory of Wages

Subsistence theory is one of the oldest theories of wages. It was first explained by Physiocrats, a group of French economists , it was restated by Ricardo.

According to this theory, wage must be equal to the subsistence level of the labourer and his family. Subsistence means the minimum amount of food, clothing and shelter which workers and their family require for existence.

If workers are paid higher wages than the subsistence level, the workers would be better off and they will have large families. Hence, the population would increase. When the population increases, the supply of labourer would increase and therefore, wages will come down.

On the other hand, if wages are lower than the subsistence level, there would be a reduction in population and thereby the supply of labour falls and wages increase

Chapter-06.indd 128 02/01/2023 16:07:10